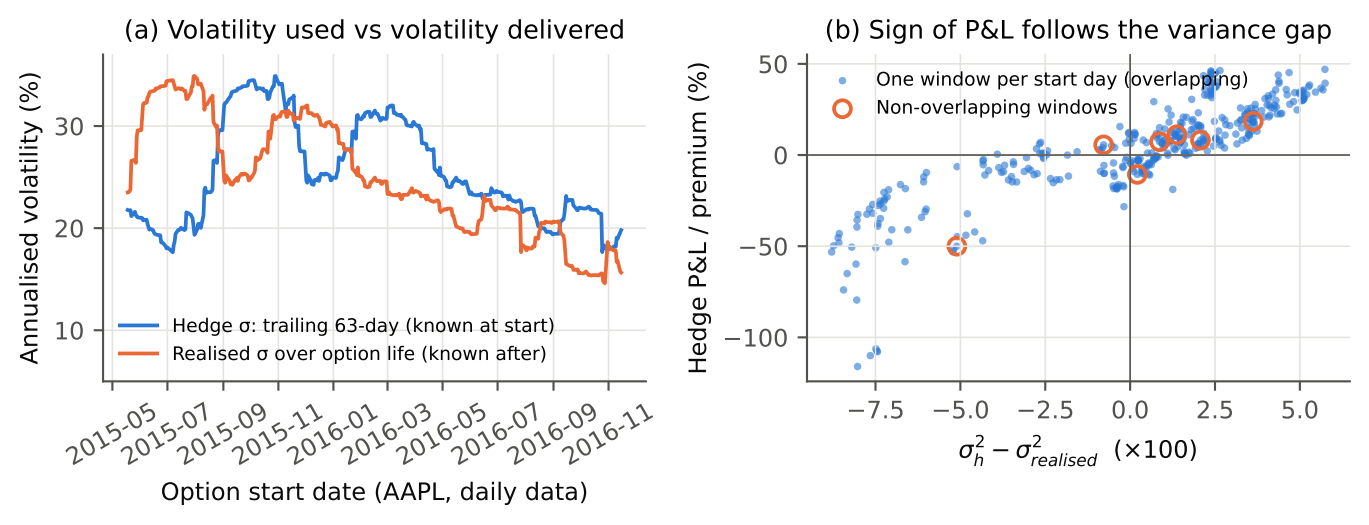
(a) Volatility used vs volatility delivered
Annualised volatility (%)
30
20
10
Hedge σ: trailing 63-day (known at start)
Realised σ over option life (known after)
2015-05
2015-07
2015-09
2015-11
2016-01
2016-03
2016-05
2016-07
2016-09
2016-11
Option start date (AAPL, daily data)
(b) Sign of P&L follows the variance gap
Hedge P&L / premium (%)
50
0
−50
−100
One window per start day (overlapping)
Non-overlapping windows
−7.5
−5.0
−2.5
0.0
2.5
5.0
$\sigma_h^2 - \sigma_{realised}^2$ (×100)